Overprotective Import Policies Hurt the Economy

Before the gold currency standard was junked in the 1970s, the excess of imports over exports was essentially settled by paying in gold or silver or foreign currency reserves that were benchmarked to gold or silver. India ran a trade surplus in much of the twentieth century before Independence. On balance, the country received gold and sterling reserves.

There was a mindset prevalent all over the world that imports were bad and therefore avoidable as they would require exporting the country's gold or silver to pay for them. In the post gold standard era also, this mindset has continued to determine policy in India. The fact that the country has been a net importer of gold for domestic jewellery and investment purposes and ran down its sterling reserves very soon added to the necessity of controlling imports. Further, as industrialization required imports of capital goods, the case for curbing imports of consumer goods became still stronger in the minds of policymakers.

This led to India building an anti-import policy framework in the post-Independence period.

The country introduced a heavy-handed licencing regime for imports. Every item required a licence. The open general licence (OGL) list remained practically abolished for more than twenty-five years until the mid-1970s. Licences were granted after protracted procedural torture. The government agencies came up with so many conditions, forms and procedures that compliance became a nightmare. The licence regime was hugely discretionary. This led to the development of crony-capitalism in the import space.

India also raised big tariff walls. Our peak tariff rate was 300 per cent for over forty years. The country's average tariffs in 1970s exceeded 125 per cent. Consumer goods suffered the highest tariffs. Only after 1991 and India joining WTO did the rollback of high tariff walls commence. Still, the country had the heaviest tariffs in the world at the turn of the millennium.